

Multiple Choice (20 marks)

1. Which of the following is not correct about economies of scale?
 - (a) Economies of scale are associated with increases in production of output.
 - (b) Economies of scale are associated with the rising or increasing portion of an average total cost (ATC) curve.
 - (c) Economies of scale are associated with the declining or decreasing portions of the ATC curve.
 - (d) Economies of scale result in decreases in per unit average cost.
2. If the FED buys bonds in the secondary market
 - (a) the money supply will increase.
 - (b) the money supply will decrease.
 - (c) the money supply will not be affected.
 - (d) the discount rate would be affected.
3. When a perfectly competitive labor market is in equilibrium,
 - (a) everyone who wants to work has the opportunity to do so
 - (b) individual firms face downward sloping labor demand curves
 - (c) unemployment can reach as high as 10-15 percent
 - (d) individual firms face upward sloping labor demand curves
4. The theory of rational expectations
 - (a) assumes that consumers and businesses anticipate rising prices when the government pursues an expansionary fiscal policy.
 - (b) implies that fiscal policy will be effective even during stagflation.
 - (c) supports the notion of a Phillips tradeoff.
 - (d) assumes that consumers and businesses do not use all the information available to them.
5. Which choice produces a faster rate of economic growth for the United States?
 - (a) Institution of higher tariffs on imported goods
 - (b) More investment in capital infrastructure and less consumption of nondurable goods and services
 - (c) Elimination of mandatory school attendance laws

- (d) Annual limits on the number of foreigners immigrating into the United States
6. Which of the following indicates that two goods are complements?
 - (a) A positive income elasticity
 - (b) A horizontal demand curve
 - (c) A negative cross-price elasticity
 - (d) A demand elasticity greater than one
 7. Which of the following will cause the aggregate demand curve to shift to the left?
 - (a) Expectations of surpluses of goods in the future
 - (b) A decrease in income taxes
 - (c) An increase in government spending
 - (d) An increase in foreign income
 8. Which of the following best measures changes in the price level of national product?
 - (a) The consumer price index
 - (b) The real interest rate
 - (c) The unemployment rate
 - (d) The GDP deflator
 9. Business cycles
 - (a) occur infrequently in capitalist economies.
 - (b) refer to reusing resources in production.
 - (c) are predictable ups and downs in economic activity.
 - (d) are each comprised of a recession and an expansion.
 10. Which of the following is true?
 - (a) $\text{A marginal social cost} = \text{marginal private cost} + \text{marginal social benefits}.$
 - (b) $\text{Value of externality} = \text{marginal social costs}.$
 - (c) $\text{Value of externality} = \text{marginal private costs}.$
 - (d) $\text{Marginal social cost} = \text{marginal private cost} + \text{negative externality}.$

True / False (20 marks)

Answer True or False and justify briefly.

1. True or False: The correct answer to 'Assume commercial banks save no excess reserves and the reserve requirement is 20 percent. How much money is created in new loans from...' is '\$800'.
2. True or False: The correct answer to 'The sales tax that you pay at the grocery store is commonly labeled a' is 'regressive tax.'.
3. True or False: The correct answer to 'At the birthday party of your best friend, you see Skylar help himself to a second piece of cake. For this individual, it must be the...' is 'the total benefit received from eating cake is falling.'.
4. True or False: The correct answer to 'A change in which of the following will NOT cause a shift in the demand curve for hamburgers?' is 'The price of hamburgers'.
5. True or False: The correct answer to 'In a given period the average price level in the country of Sherwood tripled and Robin's income increased from \$30000 to \$60000. What...' is '(A) Increased Decreased'.
6. True or False: The correct answer to 'If people expect the price of a particular product to increase in the near future' is 'this will not affect the demand for the product now or later.'.
7. True or False: The correct answer to 'Which of the following policies best describes supply-side fiscal policy?' is 'Increased government spending'.
8. True or False: The correct answer to 'Which of the following is true about a price floor?' is 'It is used when the equilibrium price is too high.'.
9. True or False: The correct answer to 'Which of the following is not included in the U.S. GDP?' is 'An American pop singer performs a sold-out concert in Paris.'.
10. True or False: The correct answer to 'According to Say's law' is 'it is better to give than receive'.

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